

THEMATIC

What a supply shock is actually worth

When the Strait of Hormuz flared, oil repriced in a week. I wanted to separate the part that was information from the part that was weather — and to write down what I did about it before hindsight rewrote the story.

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The problem with reacting to shocks

A supply shock is a test of temperament disguised as a test of analysis. The price moves before you've finished thinking, the commentary is loudest when it's least useful, and the pressure to 'do something' peaks exactly when doing something is most likely to be wrong. When the Strait of Hormuz flared, crude spiked and every screen turned into a war-room. The useful question was not 'where is oil going' — nobody knows — but 'what is now true that wasn't true last week, and what am I being paid to bear.'

Separating information from weather

Most of a shock's price move is weather: sentiment, positioning, momentum, the mechanical selling and buying of people who must act. A smaller part is information: a genuine change in the probability or severity of supply disruption. The discipline is to price the information and ignore the weather — which is hard, because the weather is what's on television. I asked a narrow question: if a meaningful share of the world's seaborne crude can be interdicted, which of the businesses I follow see their cash flows change, and by how much, in the case where it happens and the case where it doesn't.

What I actually did

I initiated positions in ONGC and Oil India — domestic upstream producers whose realisations rise with crude but whose assets sit far from the chokepoint. The logic was asymmetry, not prediction. If the disruption materialised, these benefit directly. If it didn't — the base case — I'd overpaid modestly for insurance and could exit. I wrote the thesis down at the time, with entry levels, precisely so that I couldn't later pretend I'd called the outcome. The point of a supply-shock trade is not to be right about the geopolitics; it's to structure the position so that being wrong is cheap and being right is not required.

The number that mattered

The whole decision reduced to a single comparison: the cost of carrying the hedge if nothing happened, against the loss avoided if it did. Framed that way, it stops being a bet on the Middle East and becomes an insurance-pricing problem. What it cost to be wrong was small — a hedge that

decays. What it would have cost to be unhedged in the tail was not. When the ratio is that lopsided, you don't need to know the outcome to know the trade.

What the shock didn't change

The temptation in a crisis is to rebuild the whole portfolio around the headline. Almost always a mistake. The Hormuz flare changed the case for two upstream names and changed nothing about the other holdings — a good business bought at a sensible price is still that whether or not a strait is open. Most of the portfolio's correct response to a supply shock is no response at all. The discipline is knowing which two lines actually move and leaving the other thirty alone.

The lesson, kept

Shocks resolve, and when they do the story gets rewritten by whoever was loudest. The only defence is a written record: what you believed, when, and why, priced at the time. Mine says the trade was insurance, not a forecast — and that's the version I'll hold myself to, regardless of how the barrel eventually printed.

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